Behavioral Responses to Taxation of Inherited Property

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Abstract

This paper investigates behavioral responses to an increase in taxation of inherited property in California. Using data from San Francisco and Los Angeles counties, we find that households accelerated inter-vivos property transfers to their children by 15 months in response to an impending tax increase on inherited property. We disaggregate responses by Census tract income and find that the top income decile in each county is most responsive to the policy change. Our tax elasticity estimates are much larger than what is typically found in the inheritance tax literature, and imply a significant delay in expected government revenue and an exacerbation of inequality in tax liabilities due to the policy change.

1 Introduction

The taxation of intergenerational transfers plays a central role in public finance, with implications for both equity and efficiency. Taxes on inheritance may be utilized to reduce the persistence of wealth inequality across generations and increase government revenues. Yet the effectiveness of such a tax depends critically on behavioral responses to the tax. In particular, if individuals can shift the timing of inheritance transfers, differences in taxation of transfers in life versus at death may induce substantial tax avoidance behavior. This tax avoidant behavior can undermine both the redistributive and revenue-increasing goals of the tax—in addition to distorting optimal household choices.

A large literature examines how inherited wealth transfers respond to changes in tax policy (for a review, see Schratzenstaller (2024)). This research primarily focuses on financial assets, leaving transfers of real assets relatively understudied. Real assets—particularly durable capital goods—may be especially sensitive to transfer costs due to their nearly infinite intertemporal elasticity of investment (House and Shapiro (2008)). Thus, inheritance taxes on real assets might induce larger behavioral responses than inheritance taxes on other assets. Additionally, real assets such as real estate constitute a significant portion of household wealth, meaning that tax policies affecting these transfers could substantially influence wealth accumulation.

This paper empirically tests whether intergenerational transfers of real assets are more elastic to tax changes by examining housing transfers, leveraging a natural experiment created by California's Proposition 19. Under California property tax law, a property's taxable or assessed value is equivalent to the property's purchase price $+2\%$ per year, which is typically much lower than a property's market value. As a result, long-time homeowners enjoy very low, below-market property tax burdens. Previously, an heir of a California property inherited the property's favorable, below-market property tax assessment along with the property. Proposition 19 eliminated this benefit, mandating reassessment of the property to its current market value upon its inheritance, thus significantly raising property taxes for heirs.

We show that households significantly re-time transfers of inherited property to avoid the substantial tax increase caused by Proposition 19. Such strategic responses are concentrated among wealthier households, which undermines the standard redistributive intent of inheritance taxation.

To estimate the re-timing responses, we use a bunching approach to estimate the behavioral response to an impending increase in the taxation of inherited property. Due to the delayed implementation of Proposition 19, there was a window of opportunity during which homeowners could transfer property to an heir before the law took effect. We use data on property transfers in two populous counties, Los Angeles and San Francisco counties, to determine the number of property transfers before and during the transition window, and find a large response to the policy change. We estimate that the policy change accelerated 15 months of property transfers. This is equivalent to an elasticity of inherited property to the net-of-tax rate of $e > 700$, much larger than typical inherited wealth elasticity estimates. We estimate a loss of \$3.8 billion in expected revenue from such a policy design.

Furthermore, we investigate the heterogeneity of responses to the tax policy change by Census tract income and race. Using data on race for Los Angeles County and Census data for Los Angeles and San Francisco County, we find that properties in wealthier and whiter Census tracts make up the majority of transfers during the transition window. This selective response undermines the standard redistributive intent of inheritance taxation.

To understand potential interactions among incentives and disincentives to accelerate property transfers, we propose a theoretical framework to guide the transfer decision of parent-homeowners. We incorporate three dimensions of decision-making: property tax savings, capital gains tax liability, and parental asset control. Using our model, we show that the transfer decision depends crucially on the expected death date of the parent and the length of time the child expects to hold the inherited property. We find that accelerated transfers most benefit families in which 1) the child plans to hold the property for many years, and 2) the parent is closer to death. Though we cannot directly test these predictions in the data, the concentration of accelerated transfers among wealthy households is consistent with the ability of wealthy families to hold assets indefinitely, avoiding capital gains tax liability.

From our model, we then estimate tax revenue losses to the government, which are equivalent to the property tax savings achieved by accelerated inheritance transfers. We estimate a tax revenue loss of \$1.68 billion in Los Angeles County, equivalent to approximately 10% of annual property tax revenue. In San Francisco County, we estimate a loss of \$2.13 billion, equivalent to approximately 70% of annual property tax revenue in San Francisco County.

The remainder of the paper will proceed as follows. Section 2 summarizes the relevant literature. Section 3 provides background on the setting of California property taxes. Section 4 describes the data, and Section 5 provides summary statistics. Section 6 presents empirical results, and Section 7 displays the heterogeneity of results. Section 8 describes a theoretical framework to then estimate the tax revenue losses. Section 9 concludes.

2 Literature

This paper contributes to the literature on how households adjust inter-vivos transfers in response to tax rate changes. While studies suggest that households do not fully utilize tax-preferred gifts to minimize taxes even when estate taxes rise (McGarry (2013); Joulfaian and McGarry (2004); Bernheim et al. (2004)), other research shows large gifts exhibit high short-run elasticities when tax changes are substantial and salient (Ohlsson (2011); Escobar et al. (2019); Locks (2024)). Escobar et al. (2019) find a large elasticity of $e = 22$ for a policy that allowed Swedish heirs to contribute some of their inheritance to their children to avoid taxes on inheritance over a certain threshold. Locks (2024) studied a similar setting but examines the transfers of all assets. The author estimates a large short-run elasticity of wealth transfers of $e = 148$. In contrast, our setting studies the transfer of a particular kind of asset: property. We estimate a much larger elasticity ($e =$) for the intergenerational transfers of residential and commercial property. Since property is a long-lived, high-value asset, our estimates are likely to exceed those for more liquid or short-term assets (House and Shapiro (2008)).

In addition, we contribute to the broad literature on behavioral responses to taxation on inter-generational transfers. Previous research have utilized a notched or kinked tax schedules to quantify the responses to a variety of these tax changes, such as those on estate size at death, wealth accumulation, and taxable wealth transfers (for example, Kopczuk (2013); Goupille-Lebret and Infante (2018); Glogowsky (2021)). Our study focuses on the intergenerational transfer of property and leverages a quasi-experimental policy setting and bunching design.

This paper also contributes to the literature on the effects of local property taxes on the housing landscape like average turnover and prices. In particular, we focus on California's unique property exemptions. Some studies have found that Proposition 13's tax-advantages for long-term homeowners decreased housing turnover and increased housing prices (Wasi and White (2005); Ferreira (2010); İmrohoroğlu et al. (2018)). The California Legislative Analyst's Office reports that higher income households tend to own high valued homes, and thus, receive greater tax relief (Taylor (2016)). Baker (2024) finds that Proposition 13's tax advantage to landlords passes through in the form of lower rent for renters. This paper documents the effects of a change to Proposition 13 and subsequent rules on transfer behavior and inter-generational property turnover.

Lastly, this paper contributes to recent evidence on the regressivity of property taxes, and studies of the disproportionate tax burden on racial and ethnic minorities (Avenancio-León and Howard (2022); Amornsiripanitch (2020)). This paper documents the heterogeneous effects of a property tax change on different racial and socioeconomic groups.

3 Institutional Background

3.1 Property Taxes in California

Enacted 1978, California's Proposition 13 limits annual property taxation to 1% of the assessed value and restricts annual increases of the assessed value to no more than 2% per year. Reassessment for taxation purposes occurs only when a property changes ownership or undergoes material improvements. Effectively, property is taxed on its year-of-purchase value, or its base value, rather than its current market value. Because home values tend to rise more than 2% per year, property taxes do not increase proportionally with home value. This system allows homeowners to benefit from lower real taxes the longer they remain in the same home. For example, consider a home in California purchased in 2000 for $500,000, that had appreciated with the California housing price index to approximately $1.2 million in market value by 2020. The home would be taxed at its base value plus 2% per year, resulting in a total taxable value of approximately $743,000—about 62% of the market value.

Since Proposition 13, multiple amendments have been passed to extend California's measures to cap property taxation. Two such propositions exempted familial property transfers from reassessment: Proposition 58 (1986) and Proposition 193 (1996). Under these amendments, children who inherit their parent's or grandparent's primary property, inter vivos or at death, may also inherit the property's preferential base value and thus low real property tax rate.[1] Essentially, a familial transfer would be exempt from a change-in-ownership reassessment. Parents could also transfer up to $1 million in base value of non-primary residences as well.

These propositions provided significant tax benefits to the children of California homeowners, resulting in larger property tax differentials among homeowners. In the example we considered above, a child who inherits this property from their parent will pay $7,430 in annual property taxes for a property valued at $1.2 million, as opposed to $12,000 without the exemption.

However, in November 2020, California voters passed Proposition 19, which eliminated familial reassessment exemptions under most cases in order to finance an expansion for old-age reassessment

[1] To file a claim, a parent fills out a simple form with basic information (name, address, relationship to transferee) and the signatures of both the parent and child. Proof of eligibility may be required (transfer document, will, trust). The claim must be filed with the county assessor's office, which can be done in person or by mail. There is no fee associated with filing a claim.

limits. Under this new amendment, the reassessment exemption applied only to a parent's primary residence that was transferred to their children, who would take ownership of the property as their primary residence as well (i.e. principal-to-principal transfers). The same restrictions apply to grandparent-to-grandchild transfers, under the condition that the grandparent are deceased at the time of the transfer. In addition, the new amendment limited the value that may be transferred for the exemption: up to $1 million growth in property value could be exempt from reassessment and any excess was added to the taxable value. Secondary homes, or non-principal homes, are reassessed upon any change of ownership.

Proposition 19 applied to transfers occurring after February 16, 2021, creating a window of opportunity for families to transfer their property under the previous tax regime between November 2020 and February 2021.

A full diagram explaining the assessment value changes before and after the policy for property inherited by children is shown in Figure 1. Note that a non-primary transfer will trigger a full reassessment, resulting in a discontinuous jump in the effective tax rate of the property (or the percent of market value that is paid in taxes). On the other hand, a primary transfer will be subject to a tax kink when the tax-exempt value of the home exceeds $1 million.

A fourth case, pre-policy transfers of non-primary residences, is not depicted in Figure 1. Under the pre-policy rules, children could retain up to $1 million of the assessed value of a parent's non-primary residence without triggering a full reassessment. However, any assessed value above this threshold would be reassessed to market rates, potentially resulting in a discrete jump in property tax liability. Unlike the post-policy primary residence case, this threshold applies to assessed rather than market value, making the magnitude of the jump highly case-specific and dependent on the home's appreciation. Because this treatment introduces additional heterogeneity and is difficult to depict in a stylized diagram, we omit it from the figure. In most of our empirical analysis, we focus on primary residence transfers, where the tax treatment is more consistently defined across properties.

3.2 Interaction with Other Taxes

Capital Gains Tax

Capital gains and property taxes interact significantly in our setting, creating opposing incentives regarding the timing of property transfers. If a parent accelerates a property transfer to occur prior to their death, the child forgoes a step-up in the asset's basis. Consequently, if the child later sells the property, they incur capital gains taxes on the asset's appreciation since the parent's original purchase. If the property is instead transferred at death, the child receives a step-up in the asset's basis, meaning the child is only liable for capital gains on the asset's appreciation since the parent's death date. However, delaying the transfer until death sacrifices potentially substantial property tax savings. These interactions are summarized in Table 1, and further discussion is relegated to Section 8.

Gift and Estate Tax

An additional consideration when transferring property is the application of gift and estate taxes, which are combined under one large exemption threshold. Transfers of property trigger a federal gift tax liability on the giver (in this case, the parent); however, this tax only applies once an individual's cumulative lifetime gift exceeds the exemption threshold of $12 million per beneficiary. Consequently, this tax primarily affects wealthy households or those holding highly valued assets. Approximately 0.5% properties in San Francisco and Los Angeles counties in 2020 have market values that surpass this threshold, indicating that, based solely on property transfers, our sample remains largely unaffected by federal gift taxes. Nonetheless, households with substantial wealth may strategically time property transfers in consideration of other lifetime gifts. Because we lack sufficient information to precisely evaluate this behavior, and since the median home value in our sample is approximately $1.6 million in 2020, we omit this potential channel from our analysis.

4 Data

This project utilizes datasets compiled from public sources, including familial transfer claims from county assessor's offices, property tax data on taxable values and home characteristics, and Zillow market values. We link these data to create a panel of San Francisco and Los Angeles properties that captures transfers, tax assessments, and market values.

4.1 Transfer and Tax Data

We obtained data on familial transfer claims using public records requests from two county assessor's offices: San Francisco county (2013-2021) and Los Angeles county (1987-2021). The data contains each property's address, an identifying assessor parcel number, and the date of the familial transfer (or date the transfer was filed). The data from San Francisco includes whether or not the home was the parent's primary residence, while this is estimated in the Los

Angeles data by the presence of a non-zero homeowners' exemption.[2].

We combined these claims with other publicly available property tax data, which contains the total taxable value for each home each year (2006-present for Los Angeles, 2008-present for San Francisco), the total tax liability, and some home characteristics, such as the number of bedrooms, bathrooms, and square footage.

4.2 Owner and demographics

We obtain information on the owner of the property using county records in Los Angeles. This information includes the name of the deed owner or trust. From this information, we can extrapolate demographic characteristics like race, using an open-source algorithm from the `rethnicity` package (Xie and Fangzhou (2022)). We acknowledge that many properties, particularly those being transferred, may be held under trusts or limited liability companies (LLCs), complicating accurate identification of household race. To mitigate this issue, we remove all references to "trust," "LLC," and "family" from property ownership records prior to conducting our analysis.

4.3 Market Value Data

Because properties are not reassessed annually by the state, we use publicly available data on Zillow to obtain the market value of properties between 2012 to 2022 for San Francisco County for the universe of properties and 2014 to 2022 for Los Angeles County for the properties that have ever been transferred between 1987 and 2021.

Since data coverage for San Francisco properties that have been transferred is sparse, we must impute market values for those properties with missing data. To do this, we first estimate property-specific fixed effects and tract-specific linear time trends from properties with market value data. We then assign these estimated values to properties without observed market data by matching each property to the nearest neighbors based on similarity in key characteristics, like distance, square footage, etc.

To find the average market value, we estimate the following regression model:

$$\mathrm{MV}_{it} = \alpha_i + \beta_{g(i)}\mathrm{year} + \varepsilon_{it} \tag{1}$$

[2]Homeowners in California qualify for a homeowners' exemption on their primary residence, equal to a reduction in taxable value of of $7,000 per the California State Board of Equalization

where MV_{it} is the market value of property i at time t, α_i is a property-level fixed effect, $\beta_{g(i)}$ is a tract-specific linear year trend where $g(i)$ indexes the tract of property i, and ε_{it} is the error term on property i at time t. For properties that contain market value data in some years but not others, we use the average market value of the property and the yearly trends to predict the value of the property in the missing year.

Some properties did not have any data on market value in our sample collection years. To generate out-of-sample predictions for these homes, we construct the average market value $\hat{\alpha}_i$ and tract time trends $\hat{\beta}_{g(i)}$ using a nearest neighbor matching procedure. For each out-of-sample property, we identify the 5 nearest neighbors from the estimation sample using spatial proximity based on latitude and longitude of the properties. We then construct a similarity score for each neighbor based on the absolute standardized difference across the following variables: distance from the property, median household income of the tract, number of bathrooms, number of bedrooms, number of rooms, number of units, square footage, lot area, and the number of stories. We compute the similarity score between a property i and a neighbor j as

$$\text{similarity score}_{ij} = \frac{1}{1 + \sum_k |z_{ik} - z_{jk}|}$$

where z_{ik} is the standardized value of characteristic k for property i.

We then assign weights to each of the 5 nearest neighbors proportional to their similarity scores:

$$\omega_{ij} = \frac{\text{similarity score}_{ij}}{\sum_{j'} \text{similarity score}_{ij'}}$$

If any of the neighbors are missing one or more characteristics, we assign equal weights. Then using these weights, we impute the property fixed effect and tract time trend as:

$$\hat{\alpha}_i = \sum_{j'} \omega_{ij} \alpha_j \qquad \hat{\beta}_{g(i)} = \sum_{j'} \omega_{ij} \beta_{g(i)}$$

To predict the market values of the home, we take these imputed estimates and plug into Equation 1. Lastly, we winsorize the predicted values at the 5th and 95th percentiles.

4.4 Sample Restrictions

Our analysis includes only properties classified as "residential," explicitly excluding properties that are used for commercial purposes. Additionally, we limit the San Francisco sample to properties that have available data on market value and geolocation due to the nearest neighbor matching procedure. However, this only removes 0.6% of unique properties in the San Francisco dataset.

5 Summary Statistics

In California, homeowners accrue substantial property tax benefits by remaining in the same home over time. The longer homeowners remain, the greater the gap between the market and taxable values of their properties, resulting in progressively lower effective property tax rates.[3] Thus, transferring a property's taxable value to a child–as was allowed before Proposition 19—extends these tax advantages to the next generation of homeowners.

Table 2 provides summary statistics on market values, taxable values, and home characteristics for all homes in San Francisco County, as well as a sample of homes that were ever transferred in our sample in both San Francisco and Los Angeles Counties. Within this sample, average market values exceed average taxable values by more than $1 million in San Francisco and $500,000 in Los Angeles, resulting in very low effective property tax rates of approximately 0.4–0.6%. The average home is generally held for more than 20 years; however, those who have ever transferred their homes have typically held onto their property two to four years longer. Additionally, homes in San Francisco tend to high greater value, are larger, and located Census tracts with higher average household income compared to homes in Los Angeles.

These substantial differences between market and taxable values create significant stakes for inheritors in terms of potential property tax savings. Figure 2 reports average potential annual tax savings for properties transferred before the Proposition 19 deadline within the sample of ever-transferred homes. Potential tax savings are calculated by taking the difference of property tax liability on the market value of the property and property tax liability on the taxable value of the property in 2020. Panel (a) shows that inheritors of median-value homes in San Francisco County would save $11,779 annually by avoiding reassessment through pre-deadline transfers. Conversely, transferring after the deadline implies an annual tax increase of at least $11,779 upon inheritance. In Los Angeles County, where homes generally have lower

[3]Effective tax rate = Property tax payments / Property market value.

values and slower market appreciation, the potential annual tax savings remain significant, averaging $4,869. These figures underscore the substantial monetary implications of transferring property before the Proposition 19 deadline.

5.1 Excess Claims at the Transfer Window

Total Claims

Using monthly parent-to-child property transfer claims from San Francisco and Los Angeles counties, we document a large increase in the number of transfers that occur after the policy announcement during the four-month transition window.

Figure 3 Panel (a) reports the number of monthly parent-to-child property transfers in San Francisco and Los Angeles counties. Prior to November 2020, around 457 transfers occurred each month on average. After the policy change, claims rose sharply during the four-month transition period, totaling 7,158 claims which is around 15 times larger than the average monthly claims prior to the repeal. San Francisco and Los Angeles display similar trends when examined separately. Property transfer claims rose dramatically during the transition window in both counties. In Figure 3 Panel (b), we find that an additional 18 months of transfer claims occurred in San Francisco during the transition window. In Los Angeles, Figure 3 Panel (c) shows that an additional 13 months of transfer claims were induced by the policy change. This is equivalent to transferring an additional 1.4% and 0.13% of the total residential housing stock in San Francisco and Los Angeles respectively, suggesting a larger proportional response in San Francisco County.[4]

Additionally, we can separate claims by parental residence status—i.e., if the property is the parent's principal home where they reside, or if the property is the parent's non-primary home. Recall that non-primary homes are barred from any transfer exemption after the policy change.[5] Despite differential treatment before the policy change, the shares of each type of home were relatively equal, with 55%:45% primary to non-primary in San Francisco, and 52%:48% in Los Angeles. Following the policy announcement, the share changes to 39%:61% in San Francisco and 45%:55% in Los Angeles, reflecting larger incentives to transfer non-primary homes.

[4]San Francisco has 193,116 residential housing units, Los Angeles has 2,152,235. See Table 2.

[5]Primary homes remain eligible for some exemption in the case that the primary home of the transferor becomes the primary home of the transferee. See Figure 1.

Market Value of Homes

To facilitate the comparison with prior studies on behavioral responses to taxation and to assess policy impacts on tax revenues, Figure 4 documents the market values of transferred properties over time. Panel (a) reports that an additional $5.5 billion in market value was transferred during the transition window in San Francisco County, while Panel (b) indicates an additional $4.7 billion transferred in Los Angeles County. In the next section, we calculate the implied elasticities.

6 Empirical Results

6.1 Intertemporal Elasticity

Method

We estimate the elasticity of home transfers to a change in the property tax rate in three ways.

First, we calculate the elasticity with respect to the raw change in claims:

$$e_{Claims} = \frac{Claims_W - Claims_C}{Claims_C} \times \frac{1}{\log(1-\tau_0) - \log(1-\tau_1)} \tag{2}$$

where $Claims_W$ are claims made during the transfer window of November 2020–February 2021; $Claims_C$ are claims made during a control period of November 2019–February 2020; τ_0 is the effective tax rate if the property is transferred before the policy change; and τ_1 is the effective tax rate if the property is transferred right after the policy change. To calculate the number of "excess" claims or bunchers, we compare the transfer window of November 2020–February 2021 with a control period of November 2019–February 2020. Given the stability of claims over time, we rely on the average number of claims across all periods rather than fitting a high-order polynomial. This approach avoids the interpretational challenges associated with seventh-degree polynomials used in some other studies, while yielding comparable results in our setting.

Second, we estimate the elasticity with respect to the market value of transferred homes:

$$e_{MV} = \frac{MV_W - MV_C}{MV_C} \times \frac{1}{\log(1-\tau_0) - \log(1-\tau_1)} \tag{3}$$

where MV_W are the market values of the claims made during the transfer window of November

2020–February 2021; MV_C are the market values of claims made during a control period of November 2019–February 2020. We prefer this specification for ease of comparison to other elasticity estimates, which are mostly focused on the dollar value of transferred assets instead of changes in the volume of transfers.

Third, we estimate the elasticity with respect to the "Tax Base" is as follows:

$$e_{THS} = \frac{Claims_W - Claims_C}{TaxBase} \times \frac{1}{\log(1-\tau_0) - \log(1-\tau_1)} \tag{4}$$

Here we normalize the change in claims to the estimated tax base, which we define as the estimated number of residential properties eligible for transfer. We calculate the estimated tax base by restricting to 85% of the residential housing stock owned for over 20 years.[6] This represents the percent change in eligible housing stock transferred due to the policy change.

To calculate the percent change in the net-of-tax rate due to the policy change, we define τ_0 as the pre-transfer effective property tax rate:

$$\tau_0 = \frac{\tau_p \times TaxableValue}{MarketValue} = \frac{PropertyTaxPayment}{MarketValue}$$

which is equivalent to the tax rate retained if the home is transferred before the deadline. τ_1 equals the tax rate if the home is transferred after the deadline and thus reassessed to market value, meaning

$$\tau_1 = \frac{\tau_p \times MarketValue}{MarketValue} = \tau_p$$

which is equivalent to approximately 1% in California, with small variations in specific counties and cities.

Results

We report the estimated elasticities in Tables 3-5. The sample average effective tax rates are presented under τ_0 of each table. Because each individual homeowner faces a unique real tax rate, we use the average effective tax rate for the window sample shown of each table to calculate the elasticities in Equations (2)-(4), which are presented in the last column of each table.

Table 3 displays the elasticity of transfer claims with respect to the net of tax rate (Equation

[6] Restricting to homes owned for at least 20 years proxies for parent and child age, and the CDC and U.S. Census suggest that 80-85% of women older than 50 have children.

(2)). The elasticity is extremely large for both San Francisco, $e = 675$, and Los Angeles, $e = 352$. Table 4 displays the elasticity of the market value of transferred homes with respect to the net of tax rate (Equation (3)). The calculated elasticity is even larger than the claim elasticity, with values of $e = 781$ and $e = 714$ for San Francisco and Los Angeles respectively. These estimates are calculated as a direct comparison to other estimates produced in the literature, which we discuss in the next section.

Table 5 displays the elasticity of transfer claims normalized to the estimated tax base with respect to the net of tax rate (Equation (4)). The calculated elasticities are much smaller, with values of $e = 4.3$ and $e = 0.53$ for San Francisco and Los Angeles respectively. Normalization may be appropriate because responses may be concentrated among relatively few households utilizing this policy; hence, even minor deviations from low base rates can prompt large proportional responses. However, the elasticity estimate for San Francisco remains notably large compared to the existing literature.

Discussion

Our elasticity estimates, while large, may represent a lower bound. While Proposition 19 substantially increased property tax liabilities for inherited properties, another relevant tax consideration is the capital gains tax[7]. As discussion above, heirs who inherit property at death receive a "step-up" in cost basis to the property's current market value, thereby eliminating accumulated capital gains at the parent's death for tax purposes. By contrast, property transferred inter vivos does not qualify for a step-up, and the recipient inherits the original purchase price as their cost basis. As a result, accelerating transfers to avoid higher property taxes increases potential capital gains tax liabilities upon future sale. This trade-off dampens the incentive to accelerate transfers, as recipients weigh the immediate savings in property taxes against the prospect of higher capital gains taxes in the future.

Table A1 places our estimates in the context of other elasticities produced by the inheritance tax literature. Elasticities classified as "permanent" are produced by studies estimating the responsiveness of the entire tax base to a notched or kinked tax schedule. These elasticities tend to be quite small, $e < 1$ (Kopczuk (2013); Goupille-Lebret and Infante (2018); Glogowsky (2021)). One might consider the result of Equation (4) as most comparable to the estimates produced by these papers, representing the portion of the entire tax base that responds to a temporarily available incentive. Our estimates are still at the high end of these permanent

[7]The estate tax and gift taxes apply as well. However, as explained in prior sections, these taxes are not relevant for the majority of homeowners.

elasticities, especially the estimate $e = 4.3$ from San Francisco County.

Elasticities classified as "transitory" are produced by studies estimating the temporary response to an anticipated tax rate change (Locks (2024); Joulfaian and McGarry (2004); House and Shapiro (2008)). These estimates tend to be much larger than the permanent elasticities, with estimates (excluding ours) ranging from $e = [8, 148]$. It is unsurprising that our estimate is most similar to the largest estimate (excluding ours) of $e = 148$ from Locks (2024), as our settings are the most comparable—in both cases, a large, salient, anticipated tax change took effect a few months after the tax increase was announced.

7 Heterogeneity

We examine heterogeneity in responses during the transition window (November 3, 2020 – February 16, 2021) and compare these to a control window, defined as transfers occurring one year prior (November 3, 2019 – February 16, 2020). We investigate differences based on property characteristics, income levels, and race.

7.1 Property Characteristics

Figure 6 plots the density of property transfer claims by the property's effective tax rate. Effective tax rates are equivalent to taxes paid divided by the market value of the property, or the true proportion of the property that is being taxed. The blue density distribution represents the density of claims that occurred during the transition window, while the red density represents the density of claims that occurred during the control window. In San Francisco, the window and control distributions look relatively similar, with one difference being the slightly lower concentration of claims in the right tail and the slightly higher concentration of claims in the middle of the distribution. This suggests that homes transferred during the transition window have somewhat lower effective tax rates. Similarly, in Los Angeles, homes transferred during the transition window have lower effective tax rates, on average. This pattern suggests that homes transferred during the transition window have been held longer, on average, than those in the control window.[8]

We note other differences in pre-policy vs. post-policy announcement transfers. Homes transferred in response to the policy announcement have higher average market values. To

[8]Or that they have experienced lower market value growth relative to taxable value, but Figure 5 and Table 6 show that these are high-value homes.

demonstrate this visually, Figure 5 plots the monthly average market value of transferred homes over time. We observe a very large increase in average market value ($730,000) for homes transferred during the transition window in Los Angeles, and a smaller but still sizable increase in value for homes transferred in San Francisco ($400,000). This evidence demonstrates that homes transferred during the transition window are significantly more valuable than the typical transferred home.

Table 6 displays the mean differences of other property characteristics. The table further shows that homes transferred in the transition window also tend to be larger, featuring more bedrooms, bathrooms, and square footage compared to homes transferred in Los Angeles County the previous year. Additionally, properties transferred after the announcement had typically been held by the prior owner (the parent) for 5 to 8 years longer than those transferred in the previous period. Finally, Los Angeles homes transferred in the window are from higher income tracts, which is discussed further in Section 7.2.

7.2 Income

In Figure 8, we show the density of claims by income, using median household income for the Census tract of the transferred home. In San Francisco County, transfer claims are concentrated slightly above San Francisco County's median income of $125,000. There are no obvious changes in this pattern when comparing the transfer and control windows.

In contrast, the modal transfer in the control window for Los Angeles County occurred in zip codes with below-median income. During the transfer window, however, the modal transfer in Los Angeles occurs in an above-median income zip code, and there is a large right tail indicating an increase in the number of transfers in high-income zip codes. This pattern suggests that in normal times, transfers were more evenly distributed among income groups, while during the window, homes in wealthy neighborhoods made up the majority of transfers.

We calculate elasticities separately for different income deciles in Figure 7. Income deciles are created within year-county. Figure 7 Panels (a) and (b) show a positive relationship between income decile and responsiveness to the tax change in Los Angeles County, with the highest income deciles being the most responsive groups. In San Francisco County, this relationship is noisier, though the most elastic groups are still the top income deciles.

7.3 Race

Figure 9 shows the density of transfer claims by the proportion that are white for each Census tract. In San Francisco, there is no evident disparity between high- and low-minority Census tracts when comparing the window transfer group to the control group. However, but a striking pattern emerges in Los Angeles. In Los Angeles, the control group contains significantly more transfer claims from Census tracts with higher proportions of minorities, while the window group displays the opposite pattern. Many more transfers in the window group occur in majority-white Census tracts, and there is a reduction in claims from high-minority tracts relative to the control group.

Figure A2 confirms this finding in Los Angeles County using the predicted race of the homeowner. The figure shows the proportion of claims belonging to homeowners of different racial groups for the control period and transition window. For claims in the control period, claims were distributed among racial groups more proportionally to Los Angeles demographics.[9] However, claims during the transition window disproportionately originate from white homeowners, with the share from Hispanic owners significantly lower during this period.

7.4 Summary

Taken together, evidence from Section 7 shows that homes transferred during the transition window were more valuable, longer-held, and more likely to originate from high-income and low-minority Census tracts relative to their control period counterparts. This suggests that the creation of the transition window disproportionately benefited high-income individuals with high-value homes.

8 Model & Policy Implications

To understand potential interactions among incentives and disincentives to accelerate property transfers, we propose a simple framework to guide the transfer decision of parent-homeowners.

8.1 Model

As summarized in Table 1, we consider a parent who decides whether or not to accelerate a transfer of property to their child based on three considerations: asset control, property taxes,

[9]The racial breakdown of Los Angeles County in 2020 was 49% Hispanic, 25% White Non-Hispanic, 7% Black, and 15% Asian, per the U.S. Census.

and capital gains taxes. The parent has the choice to transfer property in period $t = 0$ (before Proposition 19 takes effect) or at their death in period $t = d$. We assume that the child will sell the property in period $t = s > d$ regardless of the transfer status of the property. For simplicity, we also assume a perfectly dynastic setting in which the parent values their own and their child's cash flow/utility equally.

Asset Control

Let the parent's utility of home consumption be denoted by U_p and the child's by U_c, with a discount rate ρ. If the parent chooses to transfer the property at death, they will fully consume the house until they die. If they choose to transfer the house before death, they will still consume the house at rate $q < 1$, as dictated by parent-child negotiations. If the property is transferred at death, the child will only consume the house from the time of the parent's death to the time of sale. If the property is transferred before the parent's death, the child consumes the property at rate $1 - q$. These terms are summarized in the table below.

	Transfer Before Prop 19	**Transfer At Death**
Parent	$q \times \sum_{t=0}^{t=d} \rho^t U_p$	$\sum_{t=0}^{t=d} \rho^t U_p$
Child	$(1-q)\sum_{t=0}^{t=d} \rho^t U_c + \sum_{t=d}^{t=s} \rho^t U_c$	$\sum_{t=d}^{t=s} \rho^t U_c$

Property Taxes

Let the property's taxable value at time $t = 0$ be denoted by TV_0. Let the California state property tax rate (approximately 1%) be defined by τ_p. Finally, let a property's market value at the time of the parent's death be denoted MV_d. In both transfer scenarios, the property's low tax basis is retained before death for $t \in [0, d)$, and increases in taxable value are limited to 2% per year. After death, property taxes continue to be capped in the transfer-before-Prop-19 scenario. However, property taxes rise sharply in the transfer-at-death scenario. This is because the property is reassessed at time $t = d$ to market value, and the child becomes liable for property taxes on this higher value. These terms are summarized in the table below.

	Transfer Before Prop 19	**Transfer At Death**
Before Death	$\sum_{t=0}^{t=d} \rho^t \tau_p TV_0 \times 1.02^t$	$\sum_{t=0}^{t=d} \rho^t \tau_p TV_0 \times 1.02^t$
After Death	$\sum_{t=d}^{t=s} \rho^t \tau_p TV_0 \times 1.02^t$	$\sum_{t=d}^{t=s} \rho^t \tau_p MV_d \times 1.02^{t-d}$

Capital Gains Taxes

Let the capital gains tax rate be defined by τ_{cg}.[10] Let MV_s denote the property's market value at time of sale, and MV_p denote the property's market value at time of purchase by the parent, meaning that $MV_p << MV_d$. If the property is transferred before Proposition 19 takes effect, then the child forgoes the step-up in the property's basis at the time of the parent's death. This means that their capital gains tax burden will be large relative to the transfer-at-death scenario. These terms are summarized in the table below.

Transfer Before Prop 19	**Transfer At Death**
$\rho^t \tau_{cg}[MV_s - MV_p]$	$\rho^t \tau_{cg}[MV_s - MV_d]$

However, note that capital gains taxes are only triggered if the asset is sold—the child may hold the property in perpetuity and not face any capital gains taxes.

Transfer Decision

Combining terms, accelerating the property transfer will be beneficial if:

$$\sum_{t=d}^{t=s} \rho^t \tau_p [MV_d \times 1.02^{t-d} - TV_0 \times 1.02^t] > \sum_{t=0}^{t=d} \rho^t (1-q)[U_p - U_c] + \rho^t \tau_{cg}[MV_d - MV_p] \quad (5)$$

The left-hand side denotes the property tax savings from transferring the property before the policy takes effect. The first term on the right-hand side represents the additional utility the parent would receive by retaining control of the property until death. The second term on the right-hand side denotes the increase in capital gains liability if the property is transferred before death, and the child chooses to sell the property.[11] In other words, the parent's decision rule should be as follows: the parent should transfer the property before the policy if the property tax savings from avoiding reassessment outweigh their concerns about asset control plus the potential future increase in capital gains taxation.

Assuming the utility of home consumption is the same for parent and child, we visually demonstrate the trade-off between the cash flow of property taxes and capital gains over

[10]Capital gains are taxed at a rate of 0%, 15%, or 20% depending on the filer's income. There is a $250,000 per filer capital gains exclusion for the sale of your primary home, which we choose to omit here.

[11]If the child never plans to sell the property, this term is equal to zero.

different time horizons of parental death and child's length of holding in Figure 10.[12]

Term	Description	Value
ρ	Discount rate	0.95
τ_p	Property tax rate	0.01
τ_{cg}	Capital gains tax rate	0.15
MV_p	Property's purchase price	\$500,000
a	Property appreciation rate, such that $MV_t = MV_p(1+a)^t$	0.07
d	Years until parent's death	$[0,30]$
s	Years until property's sale, $s > d$	$[0,30]$

Using the parameter values above, the simulation reveals that an accelerated transfer is most beneficial if the child plans to hold the property for a significant length of time ($s-d > 10$), and/or if the parent is close to death. Moreover, we find that the longer the child plans on holding the property, the larger the potential tax savings relative to the transfer-at-death scenario; the periods of low property taxes outweigh the future increase in capital gains liability. Similarly, if the parent will die in the near future, accelerating the transfer shields the child from many periods of high property taxation, which accumulates enough savings to outweigh higher capital gains liability.

8.2 Tax Revenue Loss

Helpfully, property tax savings for the homeowner are equivalent to property tax revenue losses incurred by the state. Thus, using the model, we can provide an estimate of the tax revenue lost due to accelerated property transfers. We assume that homes transferred during the transition window satisfy Equation (5), which provides a bounded range for s and d.

Figure 11 presents a boxplot of estimated tax revenue losses in San Francisco and Los Angeles counties for homes transferred during the transition window. These estimates are calculated over ranges of d and s for which Equation (5) is satisfied.[13] Los Angeles County had an

[12]Figure A3 repeats this exercise in the primary-to-primary home transfer scenario, which allows for the exclusion of \$1m in market value. This changes Equation (5) to $\sum_{t=d}^{t=s} \rho^t \tau_p[(MV_d - 1m) \times 1.02^{t-d} - TV_0 \times 1.02^t] > \sum_{t=0}^{t=d} \rho^t (1-q)[U_p - U_c] + \rho^t \tau_{cg}[MV_d - MV_p]$.

[13]Figure A4 shows the full range of estimated tax revenue losses over all values of s and d.

estimated loss of \$0.5-2.75 billion in tax revenue due to accelerated transfers, with the average estimate equal to \$1.68 billion. This is equivalent to approximately 10% of one year of annual property tax revenue in Los Angeles County. In San Francisco County, the estimates are larger due to the higher proportional response—we estimate a loss of \$2.13 billion, with the distribution ranging from \$0.75-3.5 billion. This is equivalent to approximately 70% of annual property tax revenue in San Francisco County.[14]

In sum, estimated losses due to accelerated transfers can be a substantial portion of tax revenue. As inheritance taxes are typically implemented in order to increase tax revenue, our findings caution against the creation of transition windows in future tax policy design.

9 Conclusion

Tax policies affecting transfers of real property merit particular attention due to distinctive economic characteristics of real assets. Unlike financial wealth, real property is inherently illiquid, indivisible, and typically represents the largest asset in many household portfolios. These features imply that taxes levied upon real property transfers can induce uniquely pronounced timing responses. Moreover, because real estate often comprises a substantial portion of intergenerational wealth, understanding behavioral reactions to real asset taxation is critical to evaluating policy effectiveness in mitigating wealth inequality and enhancing fiscal outcomes.

We document substantial behavioral responses to an increase in taxation on inherited property, leveraging the passage and delayed implementation of California's Proposition 19 as a natural experiment. We find that households significantly accelerated property transfers in anticipation of higher future taxes, compressing an additional 15 months of transfers into the four-month window between the proposition's approval and its effective date. We use a bunching approach to estimate an elasticity of inherited property value to the net of tax rate, and estimate a very large response: $e > 700$. Although notably larger than standard "permanent" elasticities in the inheritance tax literature, this estimate aligns closely with "transitory" elasticities observed in contexts where households temporarily respond to imminent tax hikes.

Crucially, we demonstrate that the policy's inclusion of an unnecessary transition period undermined its redistributive and revenue objectives. Households that accelerated property transfers predominantly resided in higher-income and disproportionately white Census tracts, transferring high-value homes to descendants to circumvent future property reassessments.

[14] In FY2021, property tax revenue totaled \$17.3 billion in Los Angeles County and \$3 billion in San Francisco County.

Using our theoretical framework, we estimate that these accelerated transfers cost the government approximately $3.8 billion in foregone revenue in Los Angeles and San Francisco counties alone.

In sum, we provide novel evidence on behavioral responses to taxation changes by examining property inheritance—a largely unexplored context despite its significant implications for public finance and wealth inequality. Transfers of inherited real property are particularly compelling because real estate represents a substantial and highly illiquid component of household wealth, creating distinct incentives for tax avoidance through strategic timing. Our results illustrate that transitional windows allowing taxpayers to adjust behavior in anticipation of higher taxes predominantly benefit wealthier individuals, exacerbating inequality, delaying revenue gains, and reducing overall tax revenues.

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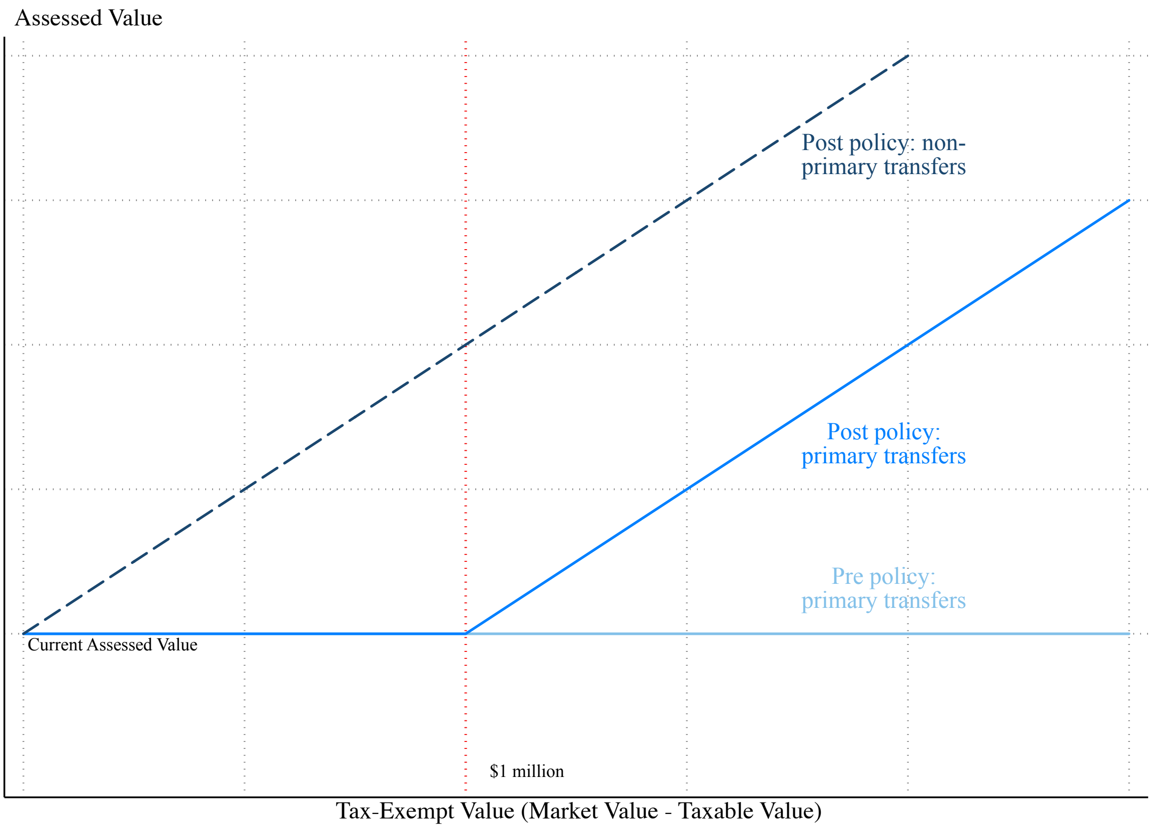
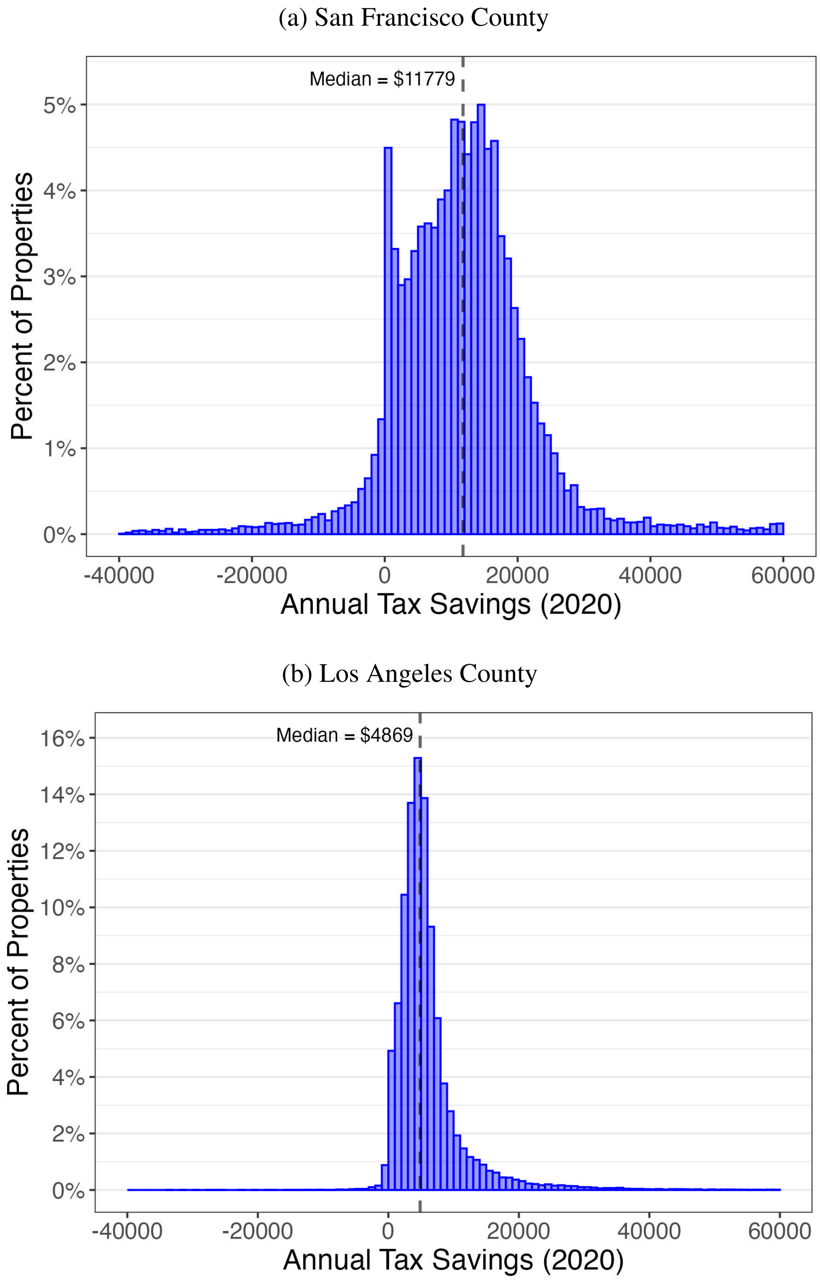
A Figures

Figure 1: Child's Assessment: Policy Diagram



Note: This figure reports the housing assessment changes for a parent-to-child transfer before and after the policy change. The horizontal, light blue line represents the pre-policy change. The medium blue line represents primary-to-primary transfers after the policy. The dashed navy line represents the non-primary-to-primary transfers after the policy.

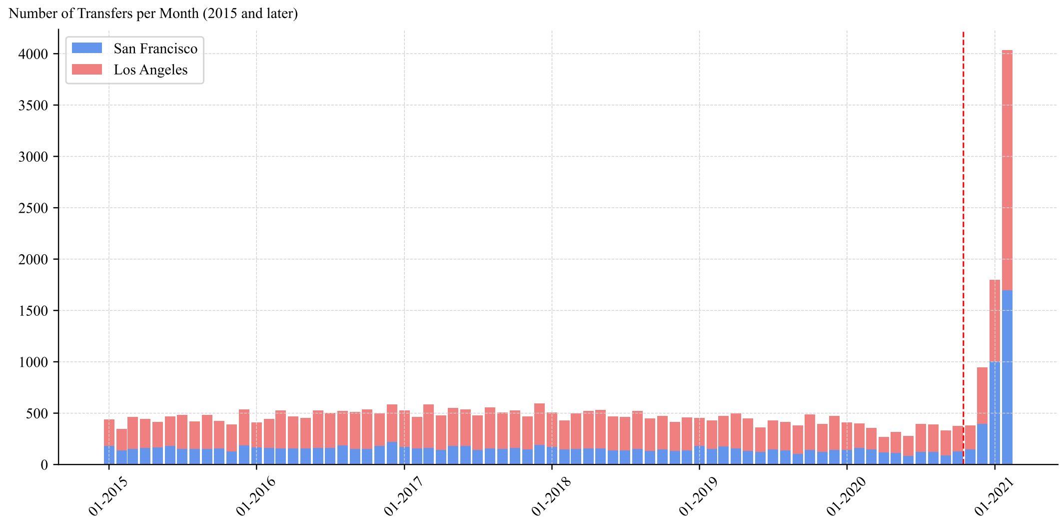
Figure 2: Potential Annual Tax Savings



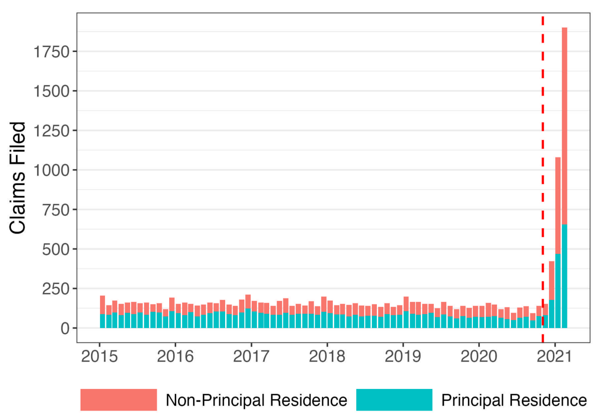
Note: This figure plots a histogram of potential annual tax savings in dollars for the sample of ever-transferred properties in Los Angeles and San Francisco Counties. Potential tax savings are calculated by taking the difference of property tax liability on the market value of the property and property tax liability on the taxable value of the property. Panel (a) plots the values for San Francisco County, and Panel (b) plots the values from Los Angeles County. The vertical dashed line denotes within-county median potential tax savings.

Figure 3: Parent-child transfers in San Francisco and Los Angeles County

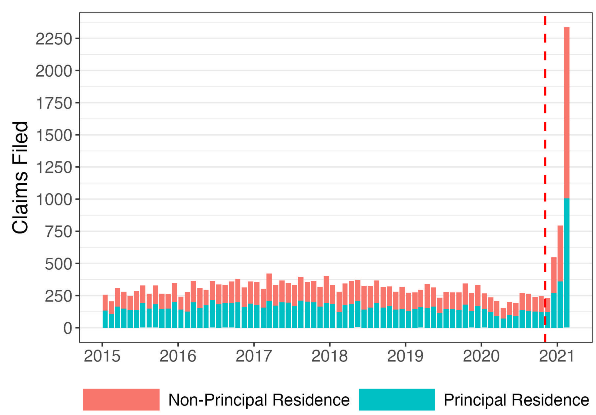
(a) Combined



(b) San Francisco County



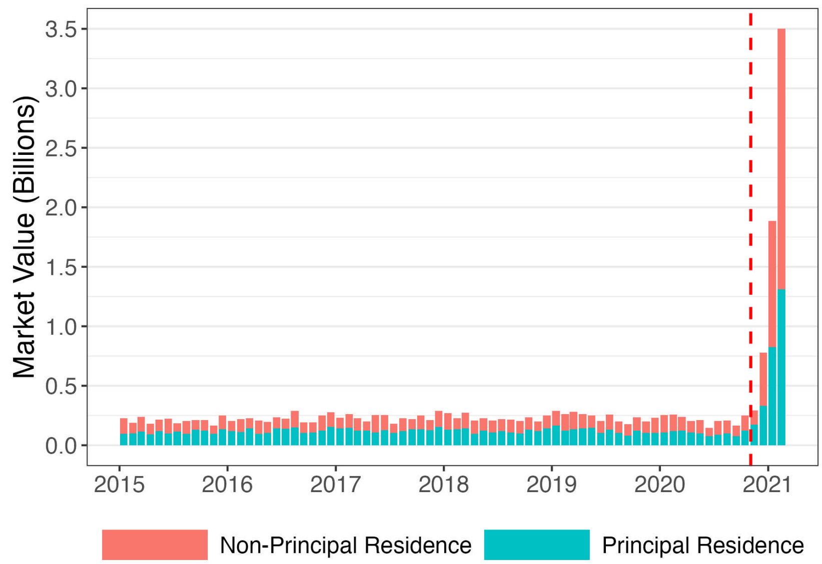
(c) Los Angeles County



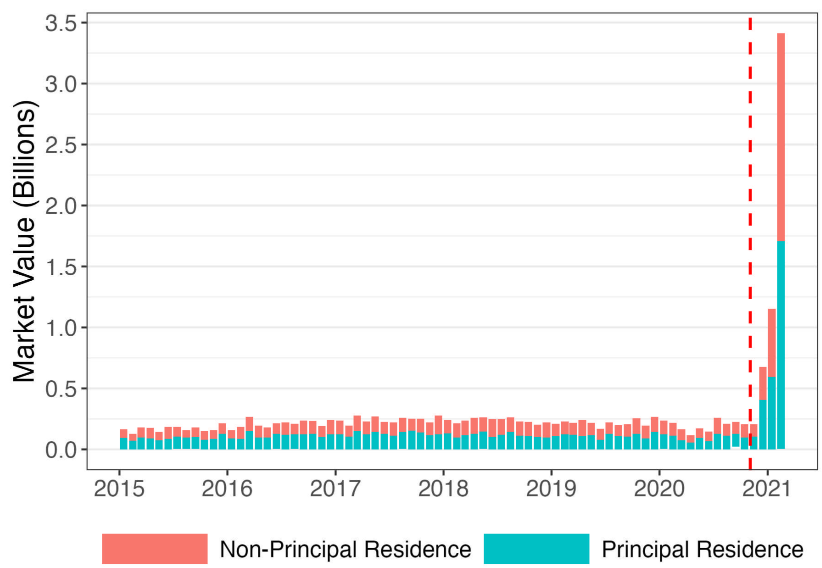
Note: This figure plots the number of unique parent-to-child property transfers by month from 2015 to 2021 in San Francisco County and Los Angeles County. Panel (a) plots the combined claims in San Francisco County and Los Angeles County. The blue bars represent the transfers in San Francisco County, and the red bars represent the transfers in Los Angeles County. Panel (b) plots the claims from San Francisco County, Panel (c) plots the claims from Los Angeles County. In Panels (b) and (c), the red bars represent the number of claims for non-principal or secondary homes and the teal bars represent the number of claims for principal or primary homes. The red dashed line in all three panels represents the time of the announcement of the repeal of parent-to-child reassessment exemption.

Figure 4: Parent-child transfers in San Francisco and Los Angeles County

(a) San Francisco County

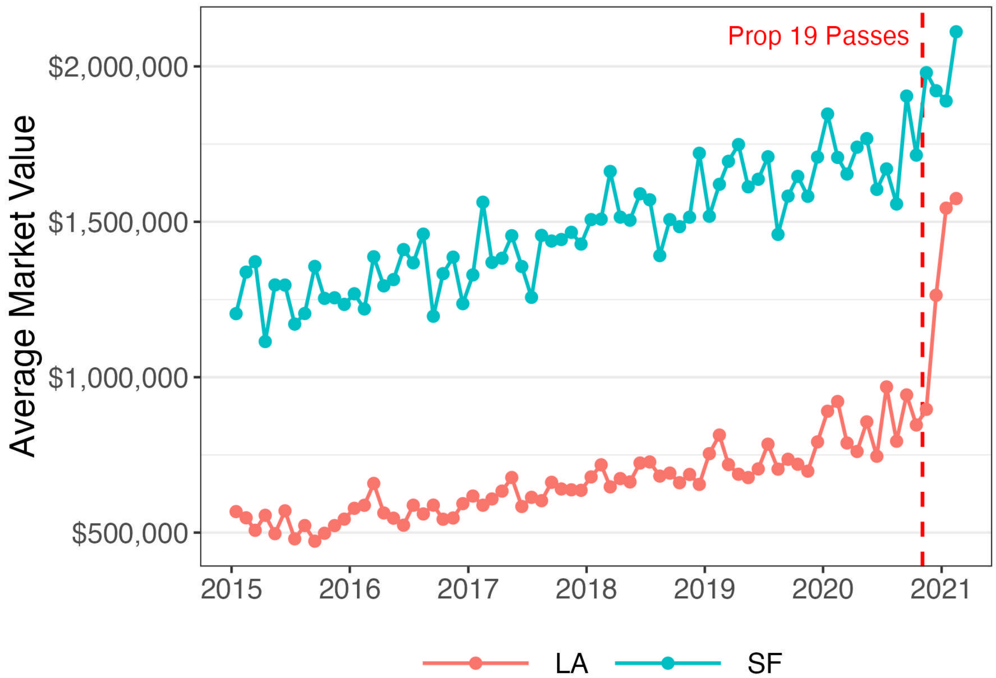


(b) Los Angeles County



Note: This figure plots the market value of unique parent-to-child property transfers by month from 2015 to 2021 in San Francisco County and Los Angeles County. Panel (a) plots the claims from San Francisco County, Panel (b) plots the claims from Los Angeles County. In both panels, the red bars represent the number of claims for non-principal or secondary homes, the teal bars represent the number of claims for principal or primary homes, and the red dashed line in all panels represents the time of the announcement of the repeal of parent-to-child reassessment exemption.

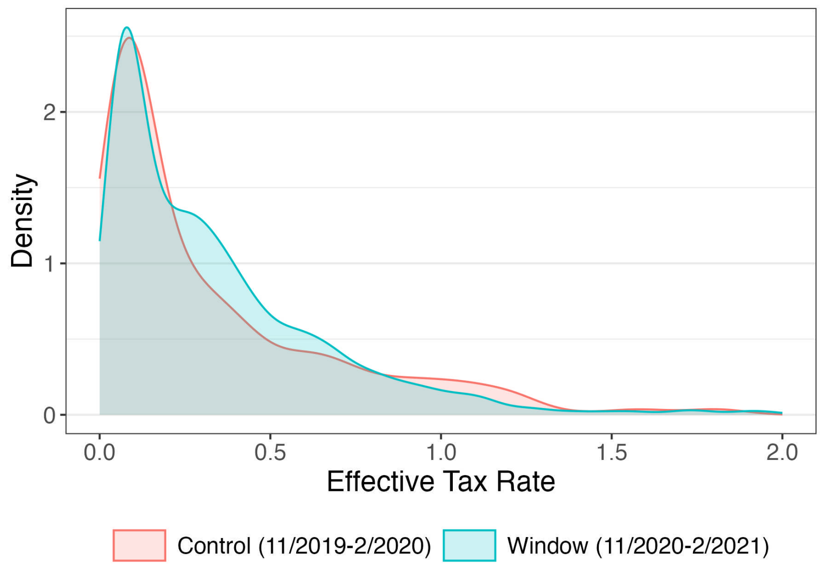
Figure 5: Average Market Value of Transferred Homes Over Time



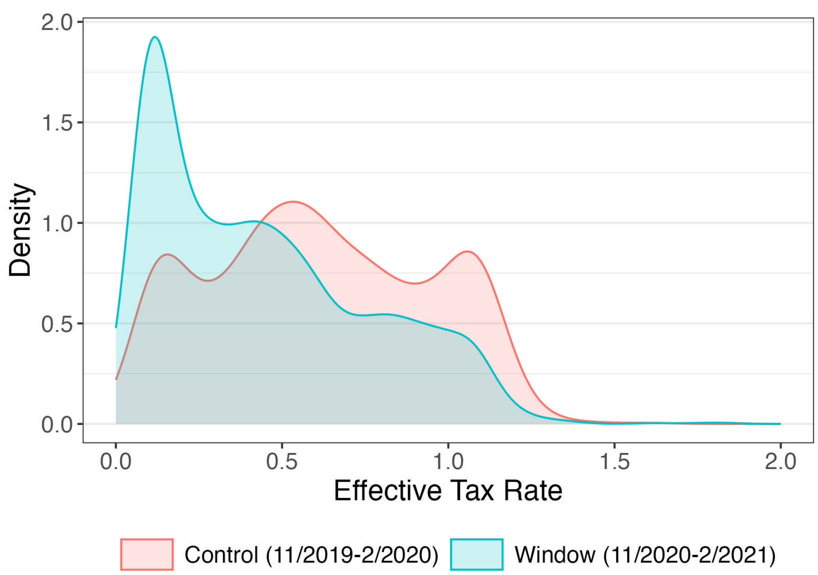
Note: This figure plots the average market value in dollars of transferred homes by month from 2015 to 2021. Los Angeles County market values are represented by the red line and San Francisco County market values are represented by the blue line. The vertical red dashed line represents the time of the announcement of the repeal of parent-to-child reassessment exemption.

Figure 6: Claim Density by Effective Tax Rate

(a) San Francisco County



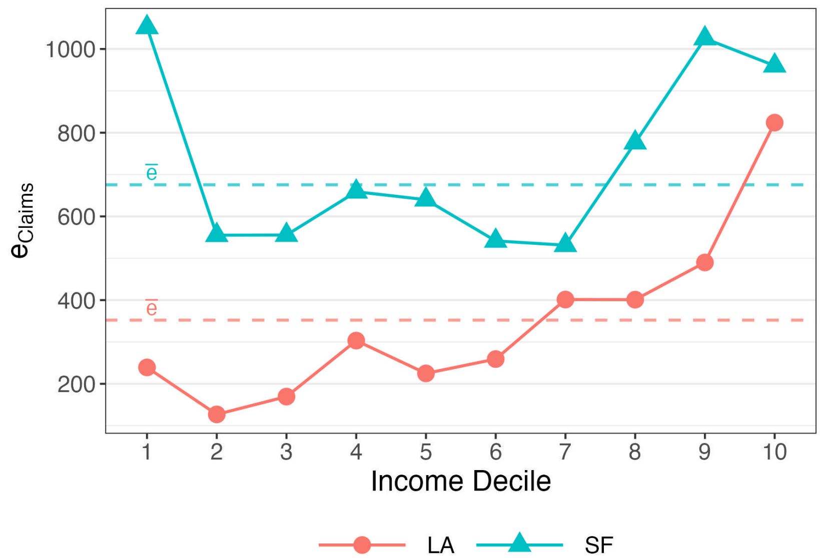
(b) Los Angeles County



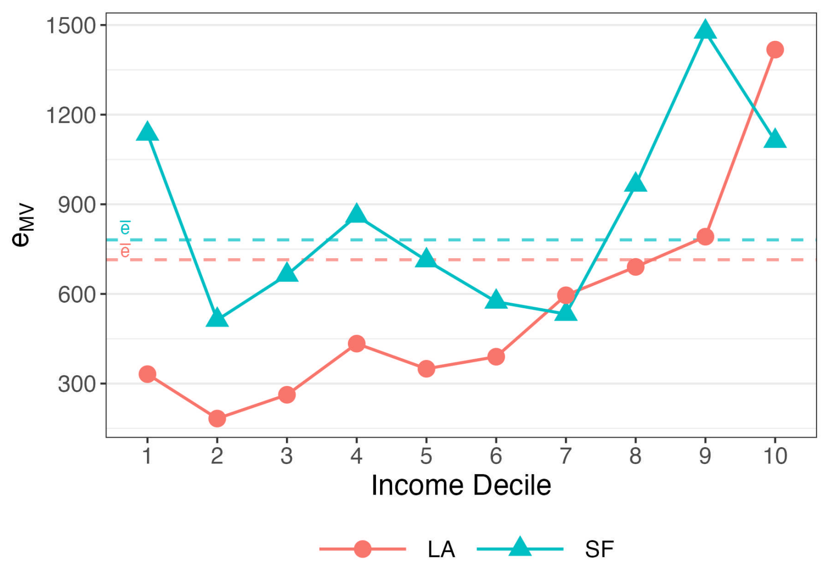
Note: This figure plots kernel density estimates of property transfer claims by the property's effective tax rate. Estimates are divided into two periods: the treatment ('Window') period, shaded in blue, and a control period, shaded in red. Panel (a) shows estimates for San Francisco County, and Panel (b) shows estimates for Los Angeles County.

Figure 7: Elasticity to tax rate change by income decile

(a) Claims Elasticity



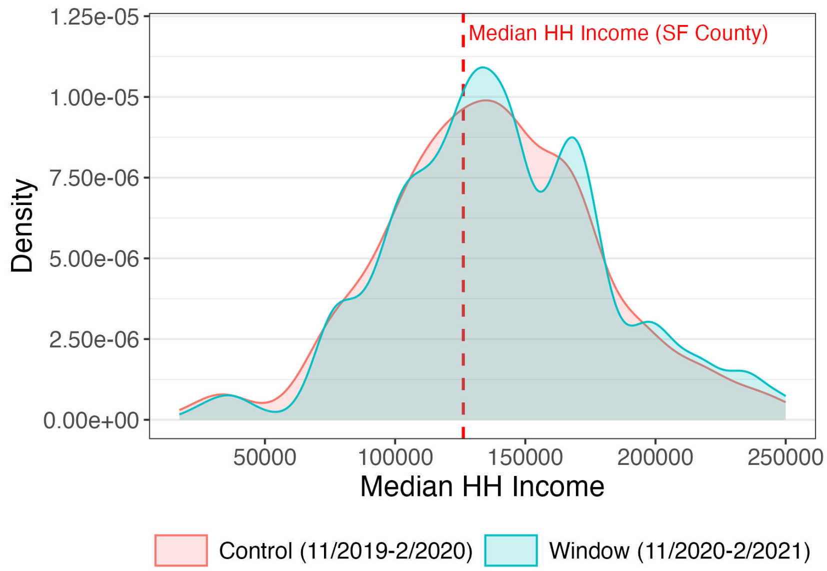
(b) Market Value Elasticity



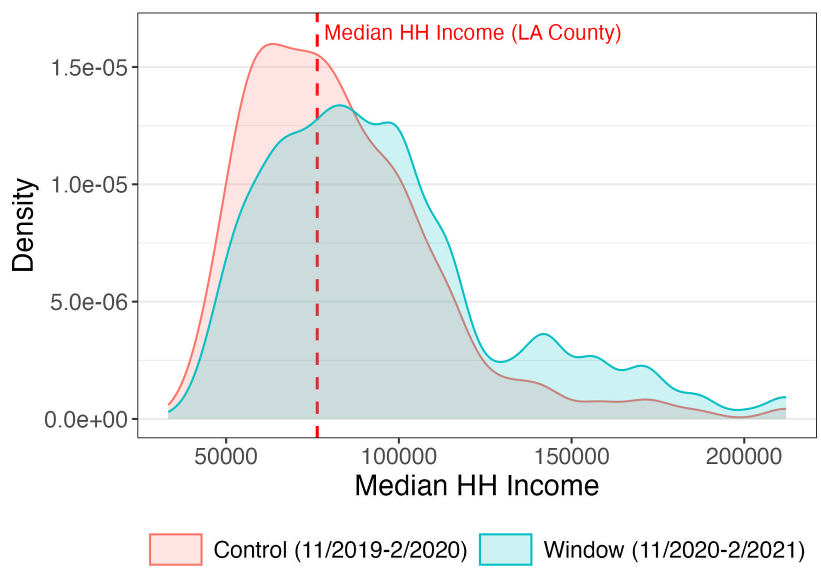
Note: This figure plots elasticity estimates by within-county income decile. Panel (a) shows the elasticity of the number of transfer claims with respect to the net-of-tax rate by income decile, while Panel (b) plots the elasticity of the market value of transferred properties with respect to the net-of-tax rate by income decile. Income decile is calculated using median Census tract income for the sample of ever-transferred homes in San Francisco and Los Angeles County.

Figure 8: Claim Density by Census Tract Income

(a) San Francisco County



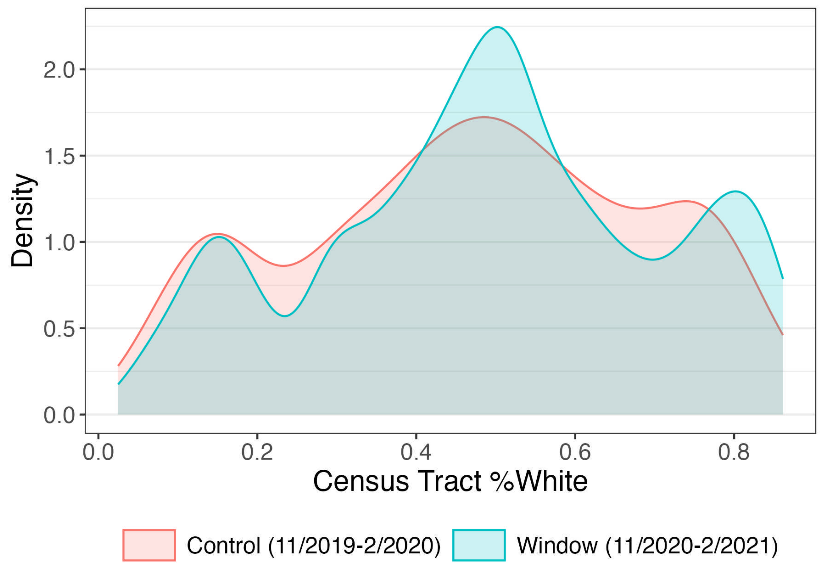
(b) Los Angeles County



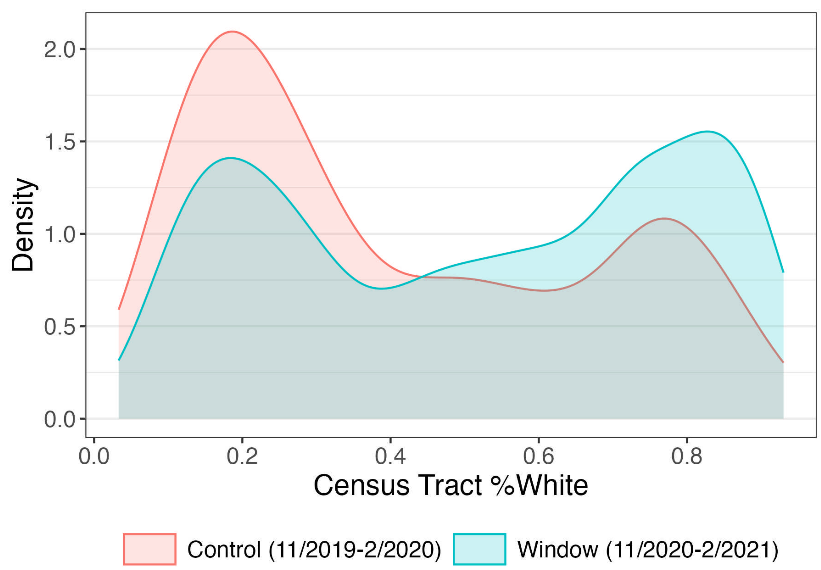
Note: This figure plots kernel density estimates of property transfer claims by the median household income of the property's Census tract. Estimates are divided into two periods: the treatment ('Window') period, shaded in blue, and a control period, shaded in red. Panel (a) shows estimates for San Francisco County, and Panel (b) shows estimates for Los Angeles County. The red dashed vertical lines in both panels denote within-county median household income.

Figure 9: Claim Density by Census Tract Proportion White

(a) San Francisco County

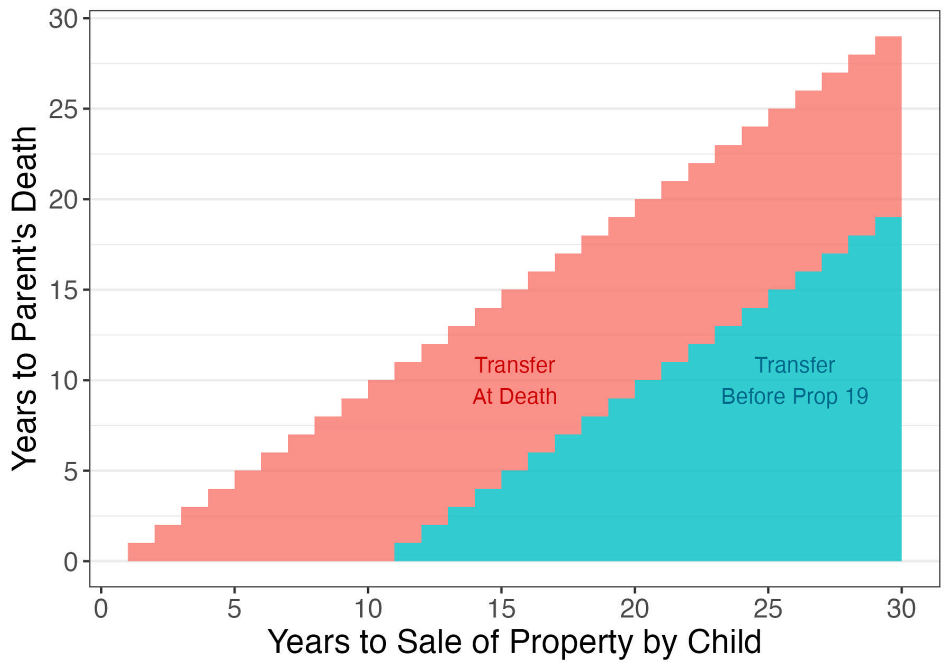


(b) Los Angeles County



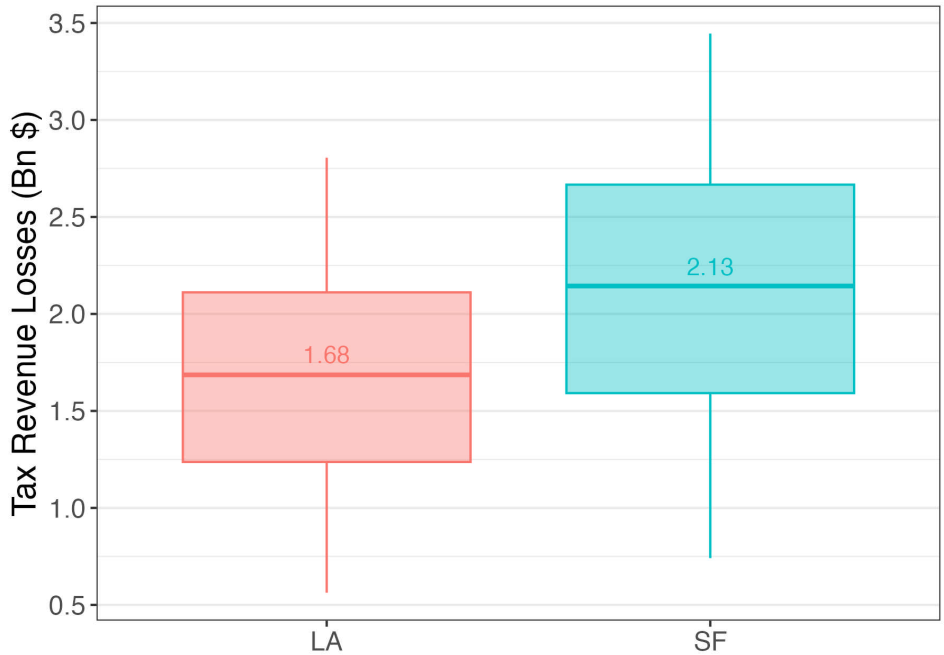
Note: This figure plots kernel density estimates of property transfer claims by the percentage of white residents in the property's Census tract. Estimates are divided into two periods: the treatment ('Window') period, shaded in blue, and a control period, shaded in red. Panel (a) shows estimates for San Francisco County, and Panel (b) shows estimates for Los Angeles County.

Figure 10: Gains to Property Transfer, Capital Gains Liability vs. Property Tax Savings



Note: This figure shows the conditions under which it is beneficial for a parent to transfer property at death (shaded in red) versus transfer property before Proposition 19 takes effect (shaded in blue). Time-of-transfer optimality is dictated by the number of years the child expects to hold the property (x-axis) and the number of years until the parent's death (y-axis).

Figure 11: Estimated Tax Revenue Losses



Note: This figure presents a boxplot of estimated tax revenue losses in billions of dollars for Los Angeles County (in red) and San Francisco County (in blue). Tax revenue losses are estimated over a range of possible holding periods for inherited properties.

B Tables

Table 1: Transfer Scenario Tradeoffs

Category	**Transfer Before Prop 19**	**Transfer at Death**
Property Taxes	Lower (Not reassessed)	Higher (Reassessed)
Capital Gains Taxes	Higher (No step-up in basis)	Lower (Step-up in basis)
Parental Asset Control	Lower	Higher

Note: This table summarizes transfer trade-offs for two scenarios: transferring property at death versus before Proposition 19 takes effect. The trade-offs are considered over three dimensions: property tax liability, capital gains liability, and parental asset control.

Table 2: Sample Averages, 2020

	Full Sample		Ever Transferred	
	SF	LA	SF	LA
Market Value	\$1,828,906		\$1,820,208	\$854,346
Taxable Value	\$929,227	\$567,626	\$735,005	\$308,129
Untaxed Value	\$900,564		\$1,086,882	\$543,048
Effective Tax Rate	0.82%		0.63%	0.44%
Years Since Sale	20.33	20.55	22.32	24.61
Sqft	2234.91	2063.29	2583.03	1718.9
Median HH Income	\$145,003	\$87,207	\$139,809	\$82,057
N	193,116	2,152,235	17,063	62,252

Note: This table provides summary statistics for property values and home characteristics for properties in San Francisco and Los Angeles Counties. These values are obtained using data from the year 2020. Columns 2 and 3 provide values for the full sample of residential properties in each county, while columns 4 and 5 provide values for the subset of homes that have ever been transferred in each county.

Table 3: Elasticity of Transfer Claims to Tax Rate Change

County	τ_0			Claims		e
	Sample	Control	Window	Control	Window	Claims
SF	0.63	0.43	0.47	551	3294	675
LA	0.45	0.63	0.45	1100	3892	352

Note: This table provides estimates of the elasticity of property transfer claim volume with respect to the net-of-tax rate. Columns 2-4 display effective tax rates for the sample of ever-transferred homes, the control group, and the treatment group, respectively. Columns 5-6 provide the property transfer claim volumes for the control and treatment group, respectively. The final column provides the elasticity estimate.

Table 4: Elasticity of Transferred Home Value to Tax Rate Change

County	τ_0			Market Value (Bn)		e
	Sample	Control	Window	Control	Window	Market Value
SF	0.63	0.43	0.47	0.96	6.48	781
LA	0.45	0.63	0.45	0.91	5.62	714

Note: This table provides estimates of the elasticity of the market value of property transfer claims with respect to the net-of-tax rate. Columns 2-4 display effective tax rates for the sample of ever-transferred homes, the control group, and the treatment group, respectively. Columns 5-6 provide the market value of property transfer claims for the control group and the treatment group, respectively. The final column provides the elasticity estimate.

Table 5: Elasticity of Tax Base to Tax Rate Change

County	τ_0			Claims			e
	Sample	Control	Window	Control	Window	N Base	Tax Base
SF	0.63	0.43	0.47	551	3294	86425	4.3
LA	0.45	0.63	0.45	1100	3892	718718	0.53

Note: This table provides estimates of the elasticity of property transfer claim volume normalized to the estimated tax base with respect to the net-of-tax rate. Columns 2-4 display effective tax rates for the sample of ever-transferred homes, the control group, and the treatment group, respectively. Columns 5-6 provide the property transfer claim volumes for the control and treatment group, respectively. Column 7 provides an estimate of the size of the tax base, calculated as 85% of homes owned for 20+ years. The final column provides the elasticity estimate.

Table 6: Summary Statistics, Window vs. Prior-Year Transfers

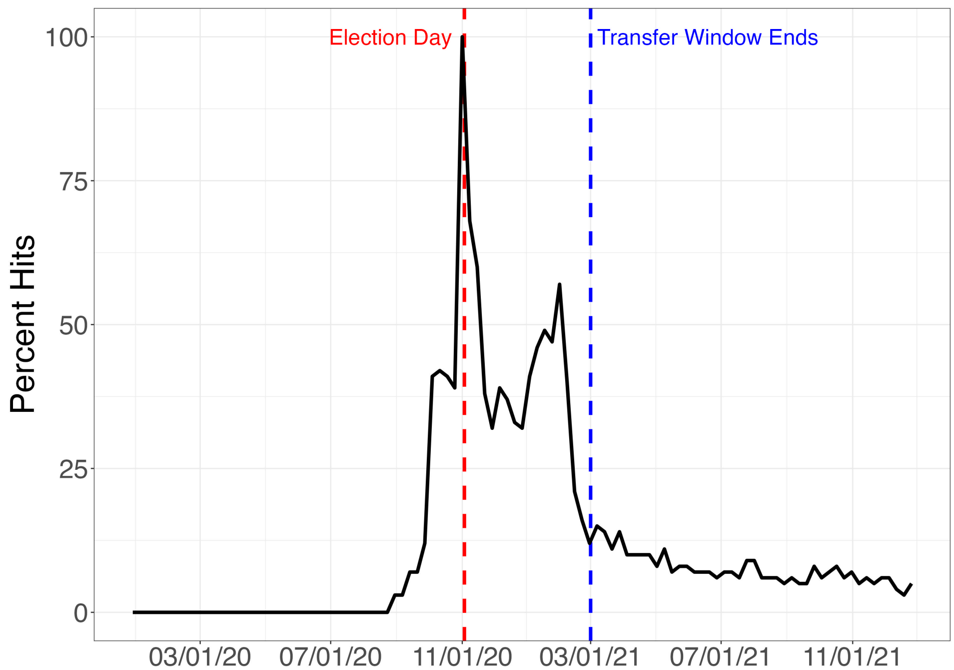
	Baseline Mean SF	**Difference in window rel. prior year SF**	**Baseline Mean LA**	**Difference in window rel. prior year LA**
Effective tax rate	0.35	0.05	0.53	-0.15***
		(0.04)		(0.01)
Assessed value (in 2020 USD)	520,396	17,817	452,237	58,638*
		(40,811)		(35,131)
Market value (in 2020 USD)	1,734,727	172,013***	828,563	574,043***
		(63,381)		(39,374)
Years since last sale	15	5.33***	20	8.40***
		(0.83)		(0.75)
No. beds	1	0.09	3	0.59***
		(0.11)		(0.07)
No. baths	3	-0.02	2	0.65***
		(0.32)		(0.06)
Property size (sq. ft.)	2,555	18.97	1,691	570.64***
		(230.84)		(46.40)
Median HH Income (Tract)	139,549	-1,934.54	84,478	8,468.51***
		(2,178.90)		(1,087.82)
Observations		3,489		4,884

Note: This table reports the differences in property characteristics (in Column 1) between homes transferred in the four-month transition window and homes transferred the year prior. Column 2 and 4 report the baseline averages. Column 3 and 5 report the average difference between the window transfers and non-window transfers for San Francisco and Los Angeles, respectively. Standard errors are clustered by property and reported in parenthesis. $*p < 0.1, **p < 0.05, ***p < 0.01$.

C Appendix

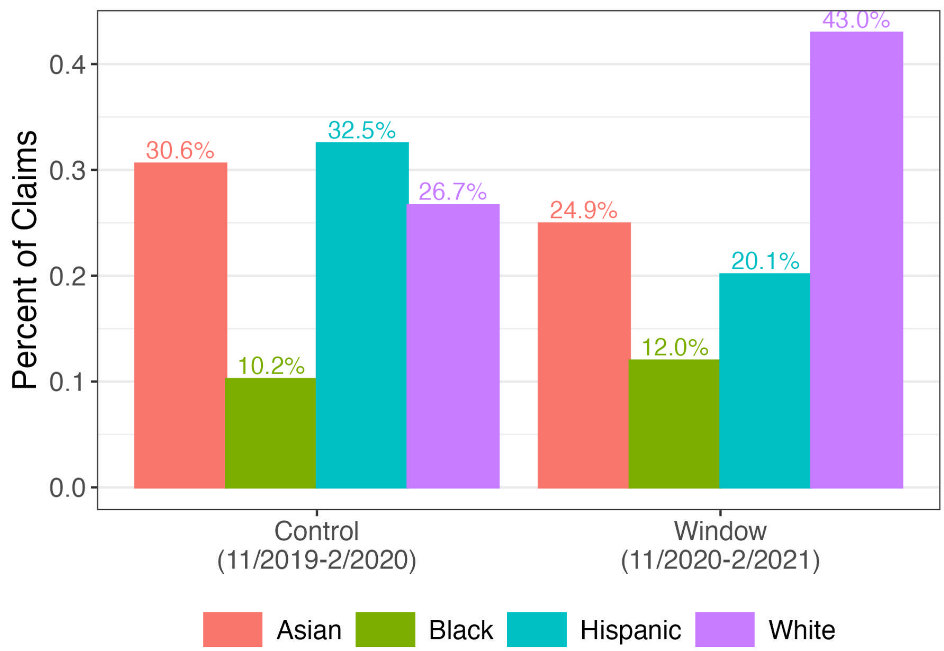
C.1 Figures

Figure A1: Google Trend for "California Proposition 19, Property Tax Transfers, Exemptions, and Revenue for Wildfire Agencies and Counties Amendment (2020)"



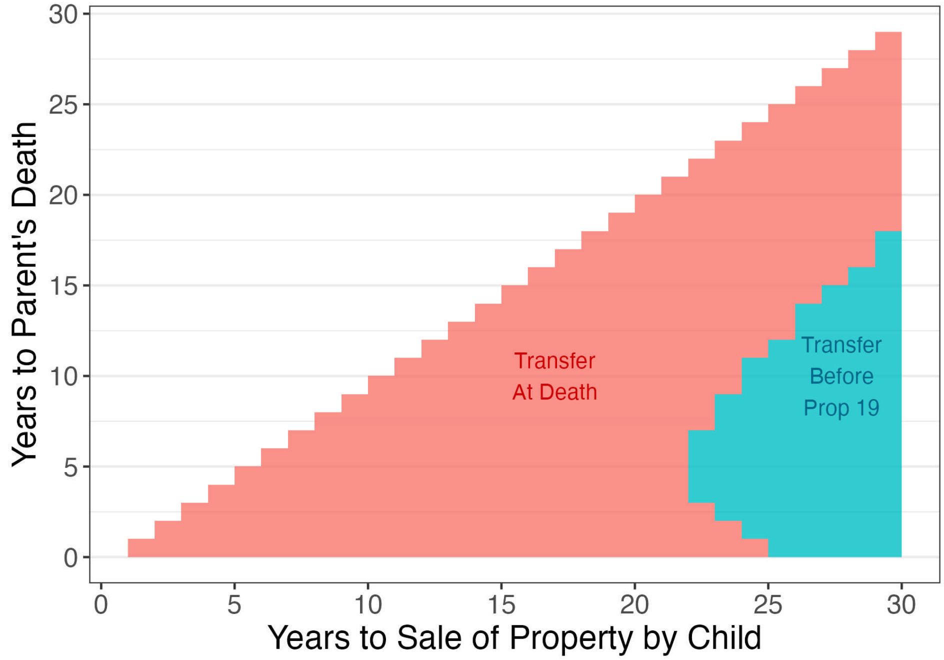
Note: This figure plots weekly Google searches of "California Proposition 19, Property Tax Transfers, Exemptions, and Revenue for Wildfire Agencies and Counties Amendment (2020)" from January 2020 to December 2021. The red dashed vertical line marks Election Day 2020, and the blue dashed vertical line marks the date Proposition 19 took effect.

Figure A2: Percent of Claims by Predicted Owner Race in Los Angeles County



Note: This figure plots the percentage of property transfer claims by racial group, shown separately for the treatment ('Window') period and a control period. Racial group is estimated by owner name using an algorithm from the `rethnicity` package.

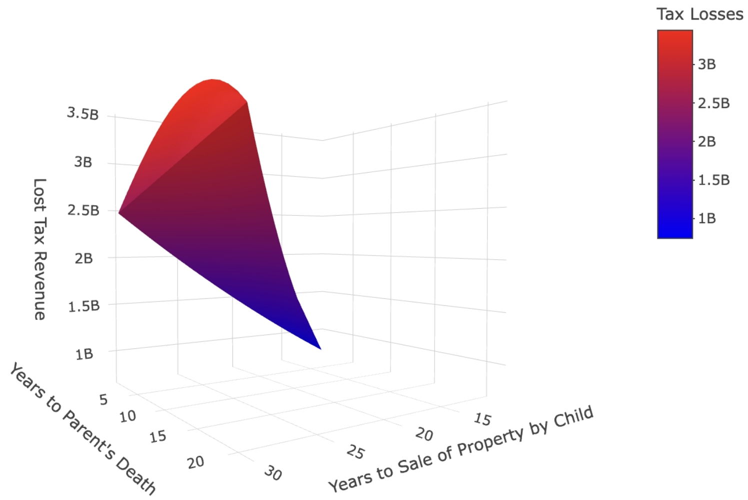
Figure A3: Gains to Property Transfer, Capital Gains Liability vs. Property Tax Savings, Primary-to-Primary Home Transfer



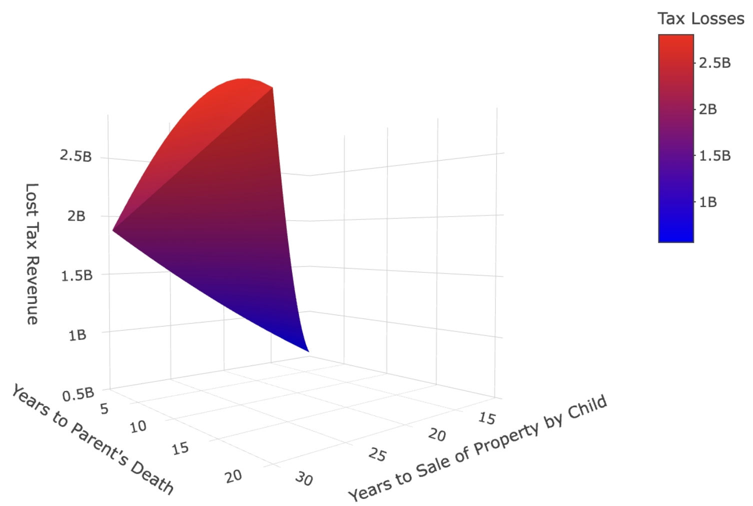
Note: This figure shows the conditions under which it is beneficial for a parent to transfer property at death (shaded in red) versus transfer property before Proposition 19 takes effect (shaded in blue) for primary-to-primary home transfers, which continue to qualify for a $1m exemption after the passage of Proposition 19. Time-of-transfer optimality is dictated by the number of years the child expects to hold the property (x-axis) and the number of years until the parent's death (y-axis).

Figure A4: Full Range of Estimated Tax Revenue Losses

(a) San Francisco County



(b) Los Angeles County



Note: This figure plots the full estimated range of property tax revenue losses by 1) the number of years until the parent's death and 2) the number of years the child-inheritor holds the inherited property. Panel (a) provides estimates for Los Angeles County, and Panel (b) shows estimates for San Francisco County. In both panels, smaller losses are shaded in blue, while larger losses are shaded in red.

C.2 Tables

Table A1: Elasticity Estimate Comparison

Authors	**Context**	**Horizon**	e
Kopczuk (2013)	Meta-study on estate size elasticity at death	Permanent	0.1-0.2
Goupille-Lebret and Infante (2018)	Notched inheritance tax schedule by age on retirement income	Permanent	0.23-0.36
Glogowsky (2021)	Kinked inheritance tax schedule	Permanent	0.1
Joulfaian and McGarry (2004)	Future increase in gift tax	Transitory	8.4
House and Shapiro (2008)	Temporary investment tax incentives (bonus depreciation)	Transitory	6-14
Locks (2024)	Future increase in inheritance taxes	Transitory	148
Baker and Kim (2025)	Future increase in property inheritance taxes	Transitory	>700

Note: This table displays estimates of the elasticity of estate size/inheritance/investment to the net-of-tax-rate for a selection of relevant papers.